

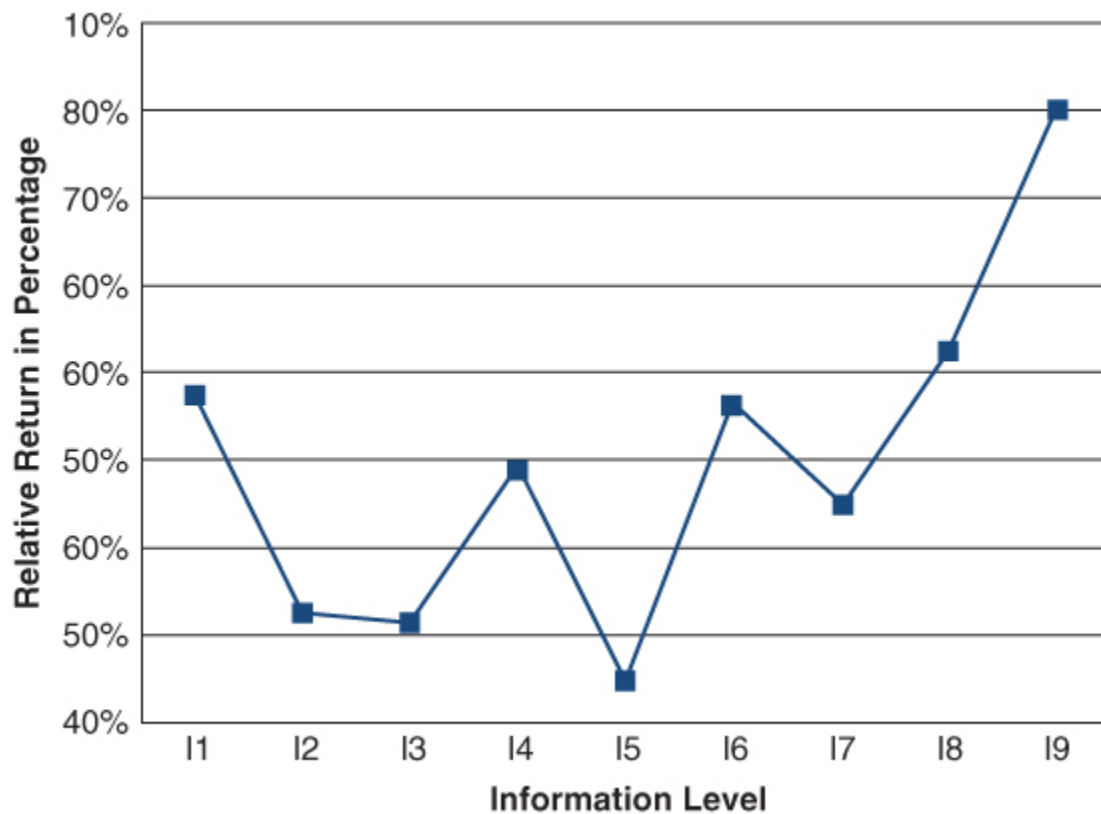


Figure 3.10 Nine Levels of Information

What are we to make of this study? Is the takeaway that insider information is helpful for generating market-beating returns? Well, *no kidding*. In a game setting, we would all trade on insider information if we had it (and of course, assuming it was legal). However, in the real world, we must weigh the benefits of beating the market against the direct costs of being holed up in a cell wearing an orange jumpsuit and the indirect costs of having to shamefully stare into the jailhouse mirror every morning.

And for the rest of the traders in the marketplace with a partial information sets? These investors should be wary of interpreting their information as a way to enhance performance. If experimental evidence is any guide, it is more likely that additional information is causing us to make worse decisions, not better decisions. We must always ask ourselves if the information we are collecting is adding value by enhancing our forecasts or detracting from value by making us more overconfident.

In addition to correctly assessing the value of information we receive, we must avoid self-attribution bias, which is our innate desire to attribute good